

National University of Computer and Emerging Sciences

Peshawar Campus

Fundamental of Accounting | Spring 2025

Assignment: 01

Total marks: 10

Weightage: 02

Question:

Discuss the accounting standards and principles followed by organizations in Pakistan, explaining their significance with a real-world company example. Define accounting fraud in Pakistan and identify the key standards or principles that, when violated, lead to fraudulent activities. Explain the penalties imposed for such violations under Pakistani law, referencing relevant regulations. Provide a detailed case study of a notable accounting fraud incident in Pakistan, highlighting the company involved, the fraudulent activity, the specific standards violated, and the penalties imposed. Additionally, mention at least two other examples of accounting fraud cases in Pakistan.

Example: In 2017, the Securities and Exchange Commission of Pakistan (SECP) fined a well-known brokerage firm, Invest Capital Investment Bank Limited, for misrepresenting financial statements and engaging in fraudulent transactions. The company violated International Financial Reporting Standards (IFRS) and Pakistan's Companies Act, 2017, leading to penalties such as heavy fines and suspension of trading licenses.

Note:

- Read the problem statement carefully and understand what is being asked. Failure to comprehend the problem statement may result in incorrect assumptions and answers.
- **Plagiarism will not be tolerated. Any evidence of copied work, including minor instances, will result in a grade of zero for the entire assignment and 50% deduction from the next quiz and assignment.**
- Late submissions will not be accepted under any circumstances. Submit your work on time to avoid penalties.
- Submit Your Assignment in **hard form**.
- If you have any questions or concerns, ask before submitting your work. Lame excuses or attempts to justify plagiarism or late submissions will not be accepted.
- The Last date for Assignment submission is 3rd march 2025.